

SMM Iron Ore Daily

2026-10-02 Friday Imported & Domestic Ore Prices Supply-Demand Inventory Commentary

Source SMM Data-pro

Futures Contracts		Closing price
SGX Iron Ore Most-traded Contract Daily		
93.43 USD/dmt		
▼ -0.07 -0.07%		
MTD avg 93.43		
As of Oct 1 vs Sep 30		
DCE Iron Ore Most-traded I2701 Daily		
702.5 yuan/mt		
▲ +3.5 +0.50%		
MTD avg 717.4		
Closed for the National Day holiday · close as of Sep 30		
SMM Iron Ore Price Index		Seaborne as of Oct 2 · port spot not quoted
MMI 61% Port Spot Daily		
674 yuan/wmt		
No quotation (holiday)		
as of 09-30		
MTD avg 692		
MMI 58% Port Spot Daily		
638 yuan/wmt		
No quotation (holiday)		
as of 09-30		
MTD avg 647		
MMI 65% Port Spot Daily		
838 yuan/wmt		
No quotation (holiday)		
as of 09-30		
MTD avg 840		
MMI 61% Seaborne Index Daily		
92.35 USD/dmt		
▼ -0.65 -0.70%		
MTD avg 92.67		
MMI 65% Seaborne Index Daily		
111.15 USD/dmt		
▼ -0.60 -0.54%		
MTD avg 111.45		
SMM Domestic Ore Composite Index Daily		
831.59 yuan/mt		
▼ -5.86 -0.70%		
MTD avg 840.09		
Index as of Sep 24 vs Sep 23		

Key View

Day two of the closure: seaborne prices kept falling while low grades stood alone on the upside, and CSN's guidance cut turned high freight into actual supply loss

On the second session of the holiday China stayed dark across the board and the seaborne market again priced alone: **the MMI 61% seaborne index fell to USD 92.35/dmt (-0.70%) and the 65% to 111.15 (-0.54%)**. Across the two closed sessions the 61% is down USD 1.85 (-1.96%) and the 65% USD 0.85 (-0.76%), **widening the index-basis high-low spread from USD 17.80 to 18.80** — the same direction as the port spot spread reaching 200 yuan/wmt before the break. At the brand level, though, the structure inverted overnight: yesterday low grades led the fall, today they **stood alone on the upside**. Mainstream mid grades fell USD 0.45-0.70 (PB Fines -0.75%, Newman Fines -0.60%, Mac Fines -0.49%) and the Brazilian fines led the declines (Blend -1.73%, SSF -1.49%), while **SP10 rose USD 1.55 to 80.10 (+1.97%) and RTX Fines held at 87.15**. Taken together, low grades were first knocked down by holiday liquidity and then caught by a different logic. That logic surfaced today: **on Sep 30 CSN Mineração cut its 2026 iron ore guidance from 45-47 million mt to 39-41 million**, suspended low-grade processing at the Pires Complex dry plant, reduced third-party purchases and raised C1 cash cost guidance from USD 22.0-23.5 to 25.0-26.0/mt. The reason it gave was neither demand nor ore prices but **margin pressure from high Brazil-China freight**. SMM's weekly review frames it as the quarter's **first case of high freight converting directly into production cuts**, with a weighty line attached: "high freight has gone from a cost problem to a supply problem". The chain is worth writing out: freight spikes → landed margins on low-grade ore are squeezed out → miners shut dry plants and cut guidance → low-grade supply contracts. Recent issues of this report have treated falling freight as bearish because it reopens room for Brazilian shipments; CSN is a reminder that freight cuts both ways on supply, and that it shows up at the low-grade end first. Three constraints still apply: the cut is only about 6 million mt at the guidance midpoint, limited once spread across Q4, and explicitly reversible — and SGX in fact closed lower on the day it was announced, which is the market's own verdict. SMM's weekly review also set the post-holiday coordinates: **an SGX range of USD 90-95/mt with the centre of gravity still drifting lower**; 1.6839 million mt of maintenance losses land in the first week back, while port stocks build through the holiday and mill deliveries bunch up, so **neither side of the balance is likely to favour prices at the reopen**. A coke cut in early October could put in a floor, but SMM is explicit that margin repair feeding through to higher hot metal "will not happen in the first week back".

Today's Highlights

◆ **Seaborne prices fell again on the second session of the holiday**. The SMM MMI **61% seaborne index stands at USD 92.35/dmt** (-0.65, -0.70%) and the **65% at 111.15** (-0.60, -0.54%). Over the two closed sessions the 61% is down USD 1.85 (-1.96%) and the 65% USD 0.85 (-0.76%), **widening the index-basis high-low spread from USD 17.80 to 18.80**. Yuan spot, the three port spot indices and the DCE remain unquoted.

◆ **The brand structure flipped versus yesterday: low grades outperformed**. Of the 12 seaborne fines, mainstream mid grades fell USD 0.45-0.70 (PB Fines -0.75%, Newman Fines -0.60%, Mac Fines -0.49%) and the Brazilian fines led the declines (Blend -1.73%, SSF -1.49%), while **SP10 rose USD 1.55 to 80.10 (+1.97%) and RTX Fines held at 87.15**. Low grades led the way down yesterday and stood alone on the upside today.

◆ **CSN cut its production guidance — high freight has translated into supply cuts for the first time**. Per SMM's weekly review, on Sep 30 CSN Mineração cut its 2026 iron ore guidance from 45-47 million mt to **39-41 million mt**, suspended low-grade processing at the Pires Complex dry plant and reduced third-party ore purchases, while raising its C1 cash cost guidance from USD 22.0-23.5 to **25.0-26.0/mt**. The stated reason is **margin pressure from high Brazil-China freight**. SMM calls it the first case this quarter of high freight converting directly into production cuts.

◆ **SMM's post-holiday marker: SGX in a USD 90-95/mt range, with the centre of gravity still drifting lower**. The weekly review expects **1.6839 million mt of maintenance losses to land in the first week back**, while port stocks typically build over the holiday and mill deliveries bunch up, so **neither side of the balance is likely to favour prices at the reopen**. A coke price cut in early October could put a floor under the market, but margin repair feeding through to higher hot metal "will not happen in the first week back".

Qingdao Port Imported Ore Spot Prices

yuan/wmt mt · tax incl. · market closed for the National Day holiday; last prices as of 30 Sep 2026

Product	10-02 (yuan/wmt)	Daily change / %	MTD avg	Last 12 months
PB Fines 60.8% Daily	665	No quotation (holiday) as of 09-30	683	
Newman Fines 61.2% Daily	668	No quotation (holiday) as of 09-30	688	
Mac Fines 60.8% Daily	667	No quotation (holiday) as of 09-30	685	
BRBF 62.5% Daily	720	No quotation (holiday) as of 09-30	739	
Newman Lump 63% Daily	860	No quotation (holiday) as of 09-30	881	
Super Special Fines (SSF) 56.5% Daily	527	No quotation (holiday) as of 09-30	545	
Carajas Fines (IOCI) 65% Daily	842	No quotation (holiday) as of 09-30	845	
PB Lump 61.5% Daily	860	No quotation (holiday) as of 09-30	878	

Imported Ore USD Prices & MMI Indices

USD/dry mt · upper table: port spot converted · lower table: seaborne (CFR Qingdao) traded brands

USD prices (port spot converted)		no quotations during the holiday; last prices as of Sep 30		
Product	10-02 (USD/dmt)	Daily change / %	MTD avg	Last 12 months
Carajas Fines (IOCI) 65% Daily	116.54	No quotation (holiday) as of 09-30	116.14	
PB Lump 61.6% Daily	119.11	No quotation (holiday) as of 09-30	121.00	
BRBF 62.5% Daily	99.12	No quotation (holiday) as of 09-30	101.22	
Newman Fines 61.2% Daily	91.69	No quotation (holiday) as of 09-30	93.96	
Mac Fines 61% Daily	91.55	No quotation (holiday) as of 09-30	93.49	
Jimblebar Fines 60.5% Daily	89.55	No quotation (holiday) as of 09-30	90.64	
FMG Blend Fines 58.5% Daily	87.26	No quotation (holiday) as of 09-30	88.23	
Newman Lump 63% Daily	119.11	No quotation (holiday) as of 09-30	121.46	
Super Special Fines (SSF) 57% Daily	71.55	No quotation (holiday) as of 09-30	73.54	
Indian Fines 57% Daily	66.98	No quotation (holiday) as of 09-30	69.18	

Seaborne Fines Prices in USD		CFR Qingdao		
Product	10-02 (USD/dmt)	Daily change / %	10-01	
Carajas Fines (IOCI) Daily	109.45	▼ -2.55 -2.28%	112.00	
Brazilian Blend Fines Daily	99.60	▼ -1.75 -1.73%	101.35	
Brazilian SSF Daily	99.30	▼ -1.50 -1.49%	100.80	
PB Fines Daily	92.55	▼ -0.70 -0.75%	93.25	
West Pilbara Fines (WPF) Daily	91.90	▼ -0.55 -0.59%	92.45	
Mac Fines Daily	91.85	▼ -0.45 -0.49%	92.30	
Newman Fines Daily	91.75	▼ -0.55 -0.60%	92.30	
SIMEC Fines Daily	90.50	▼ -0.10 -0.11%	90.60	
Roy Hill Fines Daily	88.95	▼ -0.65 -0.73%	89.60	
Jimblebar Blended Fines Daily	87.85	▼ -0.05 -0.06%	87.90	
RTX Fines Daily	87.15	— 0.00 0.00%	87.15	
SP10 Fines Daily	80.10	▲ +1.55 +1.97%	78.55	

SMM Iron Ore Price Index weekly / monthly statistics

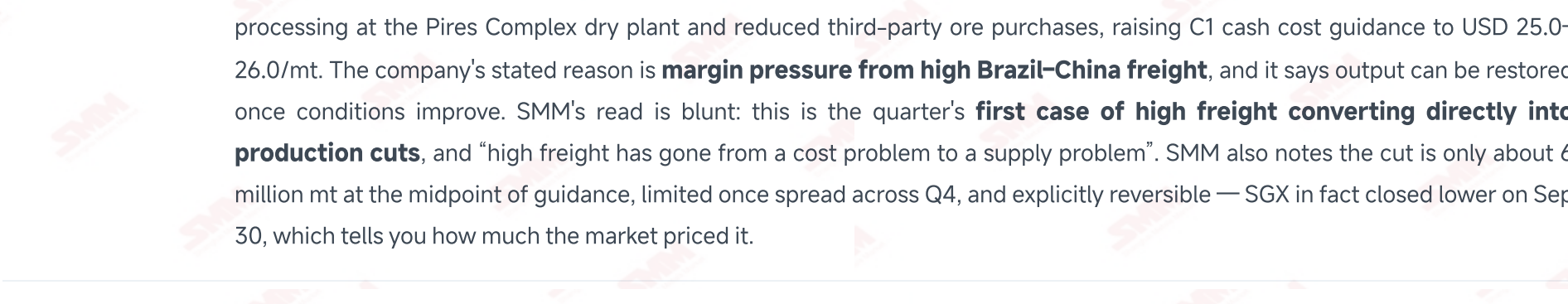
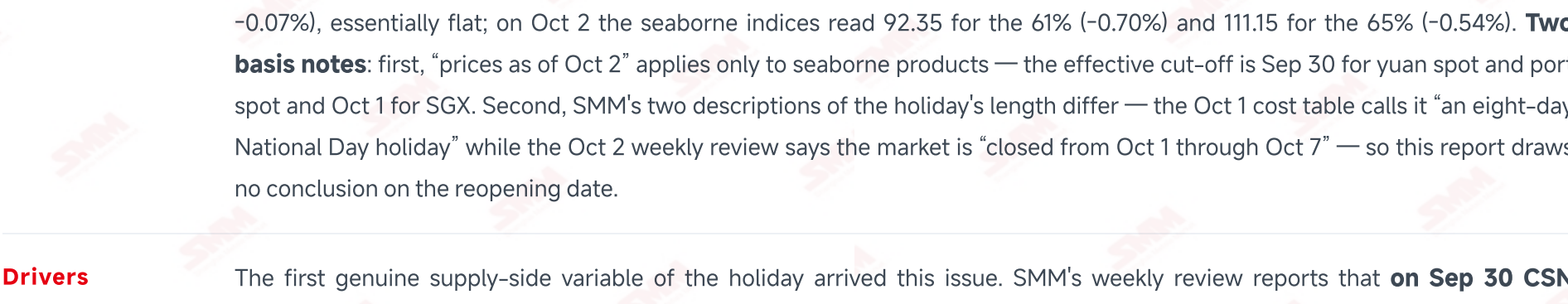
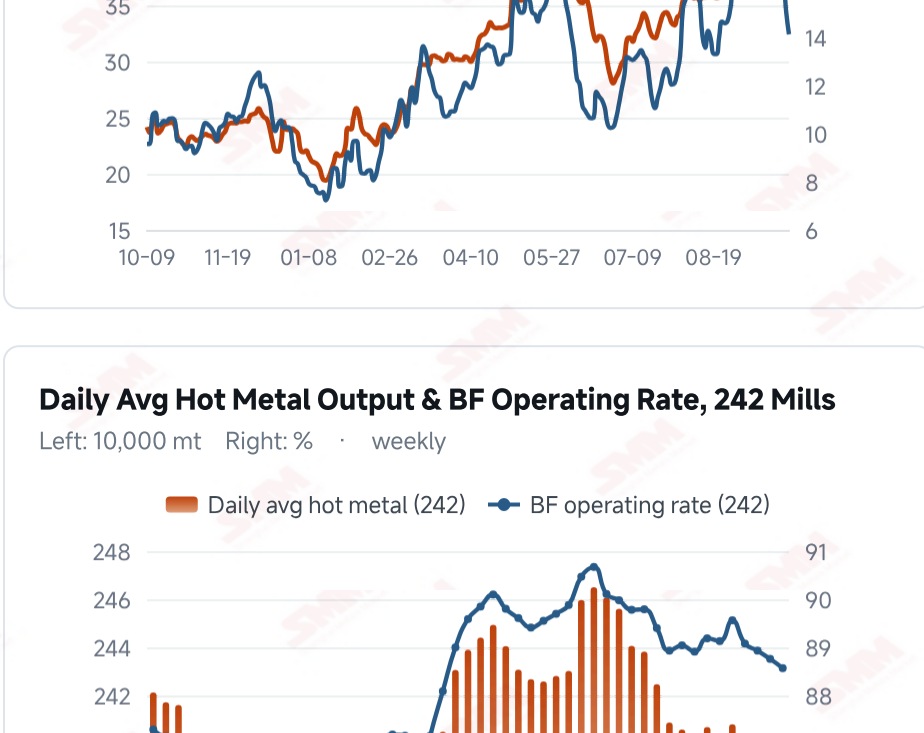
Index	Month-to-date avg	MoM	YTD	Unit	Last 12 months
SMM MMI 61% Iron Ore Seaborne Index Daily	92.67	-3.97%	-12.8%	USD/dmt	
SMM MMI 65% Iron Ore Seaborne Index Daily	111.45	-2.60%	-8.4%	USD/dmt	
SMM MMI 61% Iron Ore Port Spot Index Daily	692	+0.33%	-17.1%	yuan/wmt	
SMM MMI 65% Iron Ore Port Spot Index Daily	840	+0.78%	-6.8%	yuan/wmt	
SMM MMI 58% Iron Ore Port Spot Index Daily	647	+1.30%	-11.1%	yuan/wmt	
SMM China Domestic Ore Composite Price Index Daily	840.09	-0.11%	-6.2%	yuan/mt	

On the second session of the holiday both seaborne indices fell again: the 61% to USD 92.35/dmt (-0.65, -0.70%) and the 65% to 111.15 (-0.60, -0.54%). Over the two closed sessions the 61% is down USD 1.85 (-1.96%) and the 65% USD 0.85 (-0.76%), widening the index-basis high-low spread from USD 17.80 to 18.80. The three port spot indices remain unquoted; the table carries their last values from Sep 30.

* SMM quotations for Newman Fines and PB Lump (both CNY and USD) start in Mar 2026; their sparklines cover that shorter window only. All others show the past year.

Key Price Drivers

Last 12 months



Market Commentary · Imported Ore

Futures & spot	A second consecutive closed session in China. Yuan spot, the three port spot indices and the DCE board were all unquoted; the tables carry their last Sep 30 values with a marker. Offshore, SGX most-traded settled at USD 93.43/dmt on Oct 1 (-0.07, -0.07%), essentially flat; on Oct 2 the seaborne indices read 92.35 for the 61% (-0.70%) and 111.15 for the 65% (-0.54%). Two basis notes: first, "prices as of Oct 2" applies only to seaborne products — the effective cut-off is Sep 30 for yuan spot and port spot and Oct 1 for SGX. Second, SMM's two descriptions of the holiday's length differ — the Oct 1 cost table calls it "an eight-day National Day holiday" while the Oct 2 weekly review says the market is "closed from Oct 1 through Oct 7" — so this report draws no conclusion on the reopening date.
Drivers	The first genuine supply-side variable of the holiday arrived this issue. SMM's weekly review reports that on Sep 30 CSN Mineração cut its 2026 iron ore production guidance to 39-41 million mt from 45-47 million , suspended low-grade processing at the Pires Complex dry plant and reduced third-party ore purchases, raising C1 cash cost guidance to USD 25.0-26.0/mt. The company's stated reason is margin pressure from high Brazil-China freight , and it says output can be restored once conditions improve. SMM's read is blunt: this is the quarter's first case of high freight converting directly into production cuts , and "high freight has gone from a cost problem to a supply problem". SMM also notes the cut is only about 6 million mt at the midpoint of guidance, limited once spread across Q4, and explicitly reversible — SGX in fact closed lower on Sep 30, which tells you how much the market priced it.
Demand	No new demand data. SMM's weekly review lays out the full five-period hot metal series: 2,4080, 2,4028, 2,3991, 2,3943 and 2,3882 million mt, with WoW declines of 5,200, 3,700, 4,800 and 6,100 mt — consistently in one direction, with the last three drops widening . Basis note: the review is headlined "five straight weeks of decline", referring to those five readings; counted by the number of WoW declines it is the fourth in a row, which is the basis this report uses. Both describe the same data. The review also notes that two furnaces entering maintenance and two restarting broadly offset, so the fall came from operating intensity itself . Maintenance losses of 1.6839 million mt are due in the first week back (Oct 3-9).
Inventory & supply	No new weekly data. The 10-port total still reads 103.02 million mt as of Sep 30 (+430,000 mt WoW), and SMM notes the build has slowed from the prior period's 680,000 mt . Global shipments were 35.51 million mt (+3% WoW, with Australia and non-mainstream origins up and Brazil still easing) against arrivals in China of 29.46 million mt (-6%); both remain high in absolute terms, so the comfortably supplied backdrop is unchanged . Freight was last published Sep 29 at USD 40.26/mt for C3 and USD 14.13/mt for C5. The CSN cut is worth watching: if Brazil-China freight stays at current levels, SMM believes comparable low-grade capacity faces the same margin pressure and the cuts may not stop at one producer .
Cost & margin	No new cost table; the Oct 1 print of an average 2.45 yuan/mt loss (narrowed from 6.12) still stands. The weekly review adds two useful quantifications. First, on Sep 30 the DCE rose 0.50% while SGX fell 1.43%, narrowing the internal-external spread from -23.6 to -9.1 yuan in a single session . Second, the yuan's central parity formed 138 basis points over the week to 6.7351 , offsetting import costs — but on a yuan-converted basis SGX still fell 18.6 yuan/mt, not enough to change direction . That is consistent with the note in our Oct 1 issue: margin improvement driven by the currency does not reflect ore strength and should not be extrapolated.

Market Commentary · Domestic Ore

Prices	The domestic ore market was closed for a second day, with no new quotations . The SMM China Domestic Ore Composite Price Index still reads 831.59 yuan/mt (as of Sep 24, -0.70%).
Supply & demand	Monthly data still reflect the Sep 30 releases: national iron ore concentrate output of 18.87 million mt and inventory of 280,000 mt in September. Weekly figures remain the Sep 25 prints of a 58.1% mine capacity utilisation rate and 898,000 mt of concentrate output. One macro positive landed this issue: China's September manufacturing PMI rose to 50.1% from 49.8%, back in expansion. SMM sees that as a sentiment improvement for ferrous as a whole, though it did not turn prices before the holiday.
Outlook	Domestic ore has no price discovery during the break either. Direction after the holiday rests on three things: how much of the 1.6839 million mt of maintenance losses actually materialises in the first week back, whether the first round of coke price cuts lands, and how much of the offshore decline the domestic market catches down to. Given tight domestic supply, a high share of contract volumes and September concentrate stocks of just 280,000 mt, domestic ore typically has less catch-down to do than imported ore.

Market Factors

Supportive factors

- CSN cut 2026 guidance to 39-41 million mt and suspended low-grade processing.
- SMM believes cuts may not stop at one producer if freight stays high.
- SP10 rose 1.97% and RTX Fines held flat — an independent bid at the low-grade end.
- September manufacturing PMI rose to 50.1%, back in expansion territory.
- The yuan's central parity formed 138 basis points over the week to 6.7351, offsetting import costs.
- Talk of a first round of coke price cuts persists; landing in early October would ease mill cost pressure.

Bearish factors

- Over the two closed sessions the seaborne 61% is down 1.96% and the 65% down 0.76%.
- SMM puts the post-holiday SGX range at USD 90-95/mt with the centre of gravity still drifting lower.
- Maintenance losses of 1.6839 million mt land in the first week back, a further +55,100 mt WoW.
- Port stocks typically build over the holiday and mill deliveries bunch up at the reopen.
- Shipments of 35.51 million mt and arrivals of 29.46 million mt remain high; supply stays comfortable.
- The CSN cut is only ~6 million mt at the guidance midpoint and reversible; SGX fell on the day it was announced.

Flash News

Last 2 days · click to open

- [SMM Imported Ore Weekly] Restocking support withdrawn, hot metal down five readings, pre-holiday decline confirmed
- SMM Imported Iron Ore Cost & Margin Table, Oct 1, 2026 (average loss 6.12 → 2.45 yuan/mt)
- MMI Iron Ore Port Spot Index Report (Oct 1)
- Iron Ore Inventory by Product at 10 Ports, Sep 30, 2026 (total 103.02 million mt, +430,000 mt WoW)
- [SMM BF Operating Rate] Weaker mill production appetite as hot metal output keeps sliding (2,3882 million mt, -6,100 mt WoW)
- SMM Imported Ore Miner Discounts — October 2026 (Australia's big three diverge by product)

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